# AUDIT BRIEF · Arkansas (AR)

Before auditing paid factory-warranty claims
Verified 2026-10-23 (statutes) · Built 2026-11-09 · AR-audit-brief-2026-10-23

**Covers:** Factory warranty and recall claims; recall-remedy and stop-sale claims under § 23-112-319 (same limits); incentive and reimbursement programs (12 months from the transaction date).

| Topic | Answer | Cite | Note |
|---|---|---|---|
| **Audit eligibility** | | | |
| **Audit window** | 1 year from payment or credit | § 23-112-313(e)(4)(A)(ii) | 1 |
| **Incentive window** | Incentives: 12 months from the transaction date | § 23-112-313(e)(4)(B) | 2 |
| **After the window** | Fraud only, court finding, within 2 years of the claim **[legal review]** | § 23-112-313(e)(4)(C) | 3 |
| **Deadline to take the chargeback** | Not stated; notify within the year **[legal review]** | § 23-112-313(e)(4)(A)(ii)-(iii), (e)(4)(D)(ii) | 4 |
| **Planning restrictions** | | | |
| **Frequency cap** | Not in statute | — | |
| **Advance notice** | Not in statute | — | |
| **Selection basis** | Not in statute | — | |
| **Permitted basis** | Not in statute | — | |
| **Testing and findings** | | | |
| **Chargeback grounds** | 'False or unsubstantiated' only | § 23-112-313(e)(4)(A)(iii) | 5 |
| **Denial grounds** | No list; pay proper work; no clerical denials; written grounds in 30 days | § 23-112-310(d)(3) | 6 |
| **Proof and burden** | May require documentation (express); no standard of proof stated; fraud needs a court | § 23-112-313(e)(4)(A)(i) | 7 |
| **Recovery scope** | Not in statute | — | |
| **Documentation** | Not in statute | — | |
| **Clerical errors** | No disapproval for amount-neutral clerical errors; paid claims unresolved | § 23-112-313(e)(3)(A) | 8 |
| **Extrapolation** | Not in statute | — | |
| **Chargeback process** | | | |
| **Written reasons** | Disapprovals: written specific grounds in 30 days; chargebacks: 'notification' only | § 23-112-313(e)(2)(A)(i) | 9 |
| **Dealer response** | Not in statute | — | |
| **Cure** | Correct and resubmit within 30 days (unpaid claims); post-payment cure not addressed | § 23-112-313(e)(2)(A)(ii) | 10 |
| **Internal appeal** | Not required | § 23-112-313(e)(3)(B) | 11 |
| **Wait before charging back** | None stated; the stay starts when the dealer appeals (90 days to file) **[legal review]** | § 23-112-313(e)(4)(D)(i)-(ii) | 12 |
| **Held during dispute** | Yes: Commission appeal stops the levy until resolved | § 23-112-313(e)(4)(D)(i)-(ii) | 13 |
| **New information** | Not in statute | — | |
| **Exceptions and escalation** | | | |
| **State-specific rules** | Recall-remedy and stop-sale reimbursement claims take the § 313 limits; No chargeback or incentive reduction because a § 319 recall claim was filed; Fraud carve-out is written for 'the manufacturer' only | 3 rules | 14–16 |
| **Legal review required** | Fraud chargebacks outside the one-year window; Timing of the chargeback levy; Clerical errors on paid claims | 3 items | 17–19 |
| **If done wrong** | Damages and fees for willful noncompliance; Commission license action or a monetary penalty | | p. 2 |
| **Where the dealer protests** | Arkansas Motor Vehicle Commission, within 90 days of notification; stays the levy | Ark. Code Ann. § 23-112-313(e)(4)(D)(i)-(iii) | p. 2 |

## Notes — Arkansas audit brief

**1. Audit window.** One year from the date the claim was paid or credit issued (warranty and recall claims). § 23-112-313(e)(4)(A)(ii)

**2. Window trigger for incentive and reimbursement programs.** Incentive and other reimbursement programs: 12 months from the date of the transactions, not from payment. § 23-112-313(e)(4)(B)

**3. Post-window exception (fraud).** Fraud only: a chargeback is allowed if the manufacturer establishes fraud in an Arkansas court, within two years of the claim date. Whether the two years bounds the court finding or the chargeback is not stated. **[Legal review]** § 23-112-313(e)(4)(C)

**4. Deadline to take the chargeback.** Not stated; the year is written as the audit period, and a pending Commission appeal can push the levy past it. Conservative: audit and notify within the year. **[Legal review]** § 23-112-313(e)(4)(A)(ii)-(iii), (e)(4)(D)(ii)

**5. Grounds to charge back a paid claim.** Only 'false or unsubstantiated' claims. 'Unsubstantiated' isn't defined; read with the documentation right, a paid claim the dealer can't support is the natural case. § 23-112-313(e)(4)(A)(iii)

**6. Grounds to deny an unpaid claim.** No list. Pay for warranty work properly performed per the manufacturer's requirements; no disapproval for a clerical error that doesn't change the amount; written disapproval with specific grounds within 30 days or deemed approved. § 23-112-310(d)(3)

**7. Proof and documentation.** Express: the manufacturer may require documentation for claims. Not stated: any standard of proof for a 'false or unsubstantiated' finding. A fraud chargeback needs a court finding. § 23-112-313(e)(4)(A)(i)

**8. Clerical error (disapproval rule).** No DISAPPROVAL for a clerical error that doesn't change the amount (including prior-approval errors). Whether such a paid claim can later be charged back as 'unsubstantiated' is unresolved. § 23-112-313(e)(3)(A)

**9. Written reasons.** Disapprovals: written notice with specific grounds within 30 days (express). Chargebacks: the statute says only 'notification', which starts the dealer's 90-day appeal clock. § 23-112-313(e)(2)(A)(i) *Practice (not a statutory rule): Give dated written chargeback notice with reasons, so the appeal clock is clear. Recommended practice, not a statutory requirement.*

**10. Cure and resubmission.** Disapproved unpaid claims: correct and resubmit within 30 days. Post-payment cure is not expressly addressed; the dealer's statutory route after a chargeback is the Commission appeal. § 23-112-313(e)(2)(A)(ii)

**11. Manufacturer internal appeal.** Not required; the statute assumes one may exist for disapprovals. § 23-112-313(e)(3)(B)

**12. Minimum wait after chargeback notice.** No minimum wait is stated. The stay starts when the dealer files a Commission appeal, which it may do within 90 days of notification. Whether a levy before an appeal is permitted, or must be reversed if an appeal follows, is not addressed. **[Legal review]** § 23-112-313(e)(4)(D)(i)-(ii) *Practice (not a statutory rule): Hold the levy until the 90-day appeal window closes with no appeal, or the appeal is resolved. A conservative operating practice, not a statutory requirement.*

**13. Stay while the Commission appeal is pending.** Once the dealer appeals to the Arkansas Motor Vehicle Commission, the chargeback may not be levied until the appeal is resolved; hearing within 120 days unless the parties agree to settle. § 23-112-313(e)(4)(D)(i)-(ii)

**14. Recall-remedy and stop-sale reimbursement claims take the § 313 limits.** Reimbursement claims under § 23-112-319 (used vehicles under a federal recall with a stop-sale or do-not-drive order and parts unavailable 30 days or more, in inventory or taken in trade) take the same limits as warranty claims under § 313, unless paid under a national recall program that pays at least as much or as otherwise agreed (§ 319(d)(2)). § 23-112-319(d)(1)

**15. No chargeback or incentive reduction because a § 319 recall claim was filed.** No chargeback, incentive removal or incentive reduction because a dealer filed a § 319 recall claim, unless applied uniformly to all same-line dealers in the state. § 23-112-319(c)(1)(A)-(C), (c)(2)

**16. Fraud carve-out is written for 'the manufacturer' only.** The fraud carve-out names only 'the manufacturer'; the audit right names 'the manufacturer or franchiser'. A distributor acting as franchiser needs legal review before using the two-year fraud route. **[Legal review]** § 23-112-313(e)(4)(A), (C), (D)(i)

**17. LEGAL REVIEW REQUIRED — Fraud chargebacks outside the one-year window**

§ 23-112-313(e)(4)(C) allows a fraud chargeback on a court finding 'within a period not to exceed two (2) years from the date of the claim' without saying whether the two years bounds the finding or the chargeback, and names only 'the manufacturer' where the audit right names 'the manufacturer or franchiser'.

**Action:** Obtain legal interpretation before relying on (e)(4)(C), especially as a distributor-franchiser; until then, obtain the court finding and take the chargeback within two years of the claim date. § 23-112-313(e)(4)(A), (C), (D)(i)

**18. LEGAL REVIEW REQUIRED — Timing of the chargeback levy**

The one-year period is written as the audit period and no deadline is stated for levying the chargeback; the statute also does not say whether a levy made inside the dealer's 90-day appeal window must be reversed if an appeal is then filed.

**Action:** Obtain legal interpretation before levying a chargeback after the one-year (or 12-month incentive) period or inside the 90-day appeal window; until then, notify within the window and hold the levy until the appeal window closes or the appeal is resolved. § 23-112-313(e)(4)(A)(ii)-(iii), (e)(4)(D)(i)-(ii)

**19. LEGAL REVIEW REQUIRED — Clerical errors on paid claims**

§ 23-112-313(e)(3)(A) bars disapproving a claim for a clerical error that does not change the amount, but the chargeback ground in (e)(4)(A)(iii) ('false or unsubstantiated') does not cross-reference it, so whether such a paid claim can be charged back is open.

**Action:** Obtain legal interpretation before charging back a paid claim for a clerical or prior-approval error that does not change the claim amount. § 23-112-313(e)(3)(A), (e)(4)(A)(iii)

**Not expressly addressed in the reviewed statutes (verified 2026-10-23):** audit frequency cap; advance audit notice; selection basis disclosure; audit basis (reasonable / non-retaliatory / not tied to a rate request); recovery scope (whole claim vs. unsupported portion); limits on claim documentation; extrapolation / sampling; dealer rebuttal period before a chargeback; reopening on new information; written reasons for a chargeback.

**If done wrong.** An improper audit or chargeback exposes the manufacturer or distributor to a dealer's action for reasonable damages and attorney's fees for a willful failure to comply (§ 23-112-105(a)-(b)), and to Commission denial, suspension or revocation of its license for unfairly failing to fulfill a warranty agreement or fairly compensate dealers (§ 23-112-308(a)(18)(A)), or a penalty in lieu of up to $10,000 (revocation) or $50-$500 per day capped at $5,000 (suspension), each instance a separate violation (§ 23-112-309).

**Where the dealer protests.** Appeal to the Arkansas Motor Vehicle Commission within 90 days of notification of the chargeback; the chargeback may not be levied while the appeal is pending; hearing within 120 days of filing unless all parties agree to settle; procedure under § 23-112-501 et seq., with further appeal under the Arkansas Administrative Procedure Act Ark. Code Ann. § 23-112-313(e)(4)(D)(i)-(iii); § 23-112-506

**Sources.** 20 sources read (mirror, official); the list, with links and editions, is on the state page.

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